

Storytelling and Narratives in Business (BUSN 42124)

Prof. Guy Rolnik

Session 4:

A Story is the Strongest Moat

Today, we'll meet the Oracle

The Oracle of Omaha

The story of Warren Buffett

World's richest people

	RANK	NAME	NET WORTH
	1	Elon Musk	\$385.6 B
	2	Jeff Bezos	\$206.9 B
	3	Mark Zuckerberg	\$197.9 B
	4	Larry Ellison	\$182.0 B
	5	Warren Buffett	\$165.3 B
	6	Bernard Arnault & family	\$147.1 B
	7	Larry Page	\$134.4 B
	8	Sergey Brin	\$128.8 B
	9	Steve Ballmer	\$125.2 B
	10	Amancio Ortega	\$123.5 B

World's biggest companies

Berkshire Hathaway's
revenue in 2024: \$424.2Bn

Rank		Name	Market Cap
1		 Apple AAPL	\$ 3.204 T
2		 Microsoft MSFT	\$ 3.161 T
3		 NVIDIA NVDA	\$ 2.723 T
4		 Amazon AMZN	\$ 2.018 T
5		 Alphabet (Google) GOOG	\$ 1.965 T
6		 Saudi Aramco 2222.SR	\$ 1.625 T
7		 Meta Platforms (Facebook) META	\$ 1.444 T
8		 Berkshire Hathaway BRK-B	\$ 1.143 T
 1	9	 Broadcom AVGO	\$ 927.83 B
 1	10	 Tesla TSLA	\$ 903.54 B ₉

* As of 2 May 2025

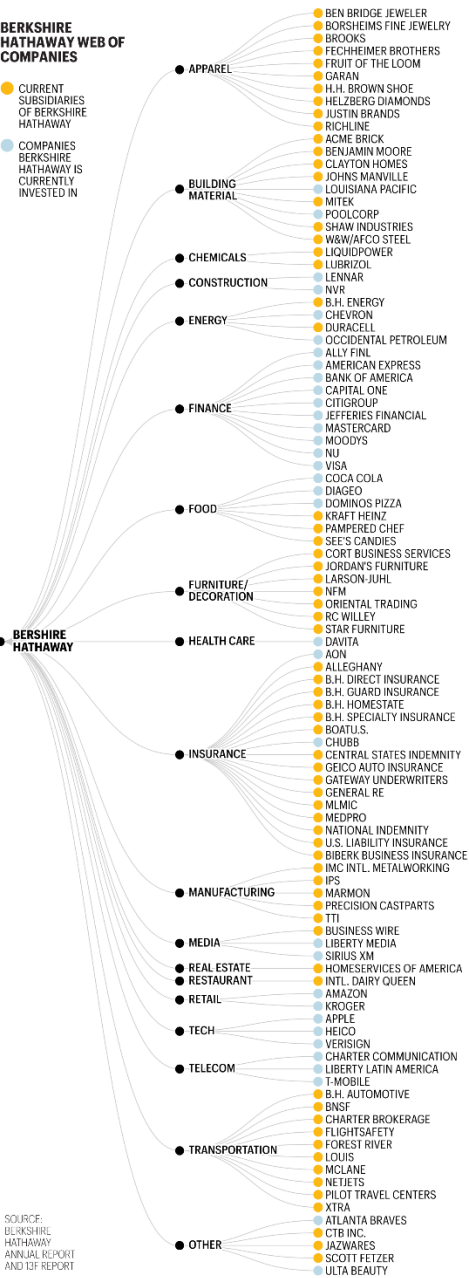
AN EMPIRE OF EVERYTHING

Berkshire Hathaway, No. 5 on the Fortune 500, has amassed a dizzying array of more than 80 brand-name companies spanning many sectors.

BERKSHIRE HATHAWAY WEB OF COMPANIES

● CURRENT SUBSIDIARIES OF BERKSHIRE HATHAWAY

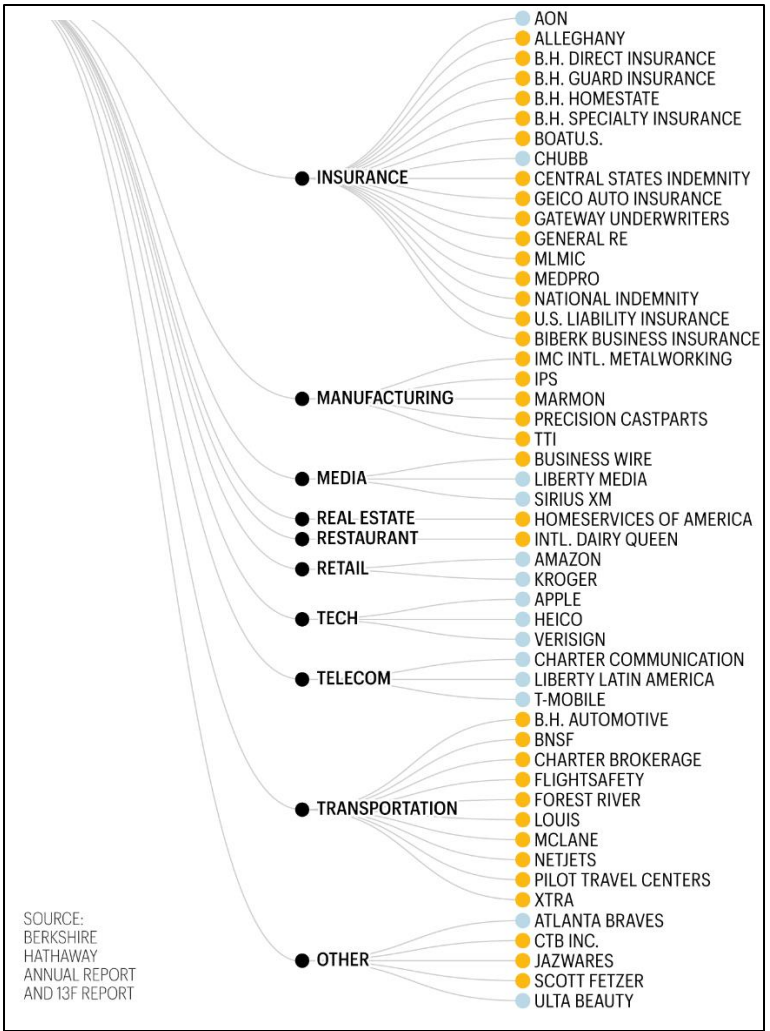
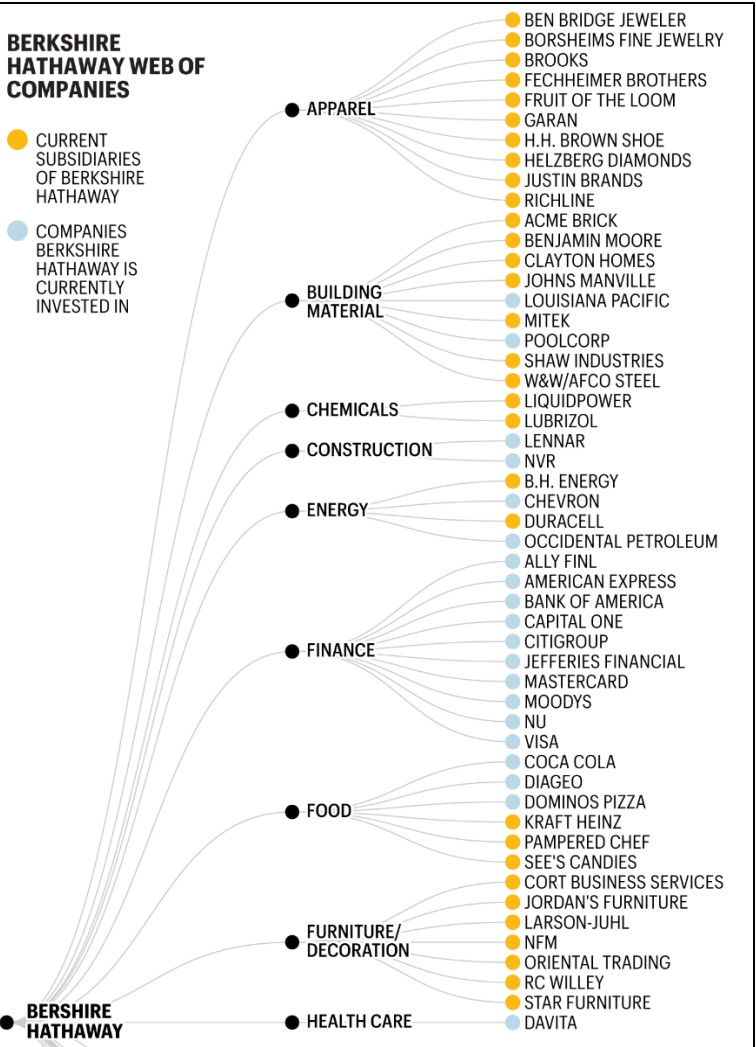
● COMPANIES BERKSHIRE HATHAWAY IS CURRENTLY INVESTED IN



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BRK-A stock price



Since 1965, Berkshire Hathaway stock has gained 3,787,464%, or more than 153 times the S&P 500's gains over the same period (24,708%).

In other words, a \$10,000 investment in Berkshire Hathaway in 1965 would leave you with approximately \$355 million in 2023.





What is Buffett's story?

Let's go to our Canvas

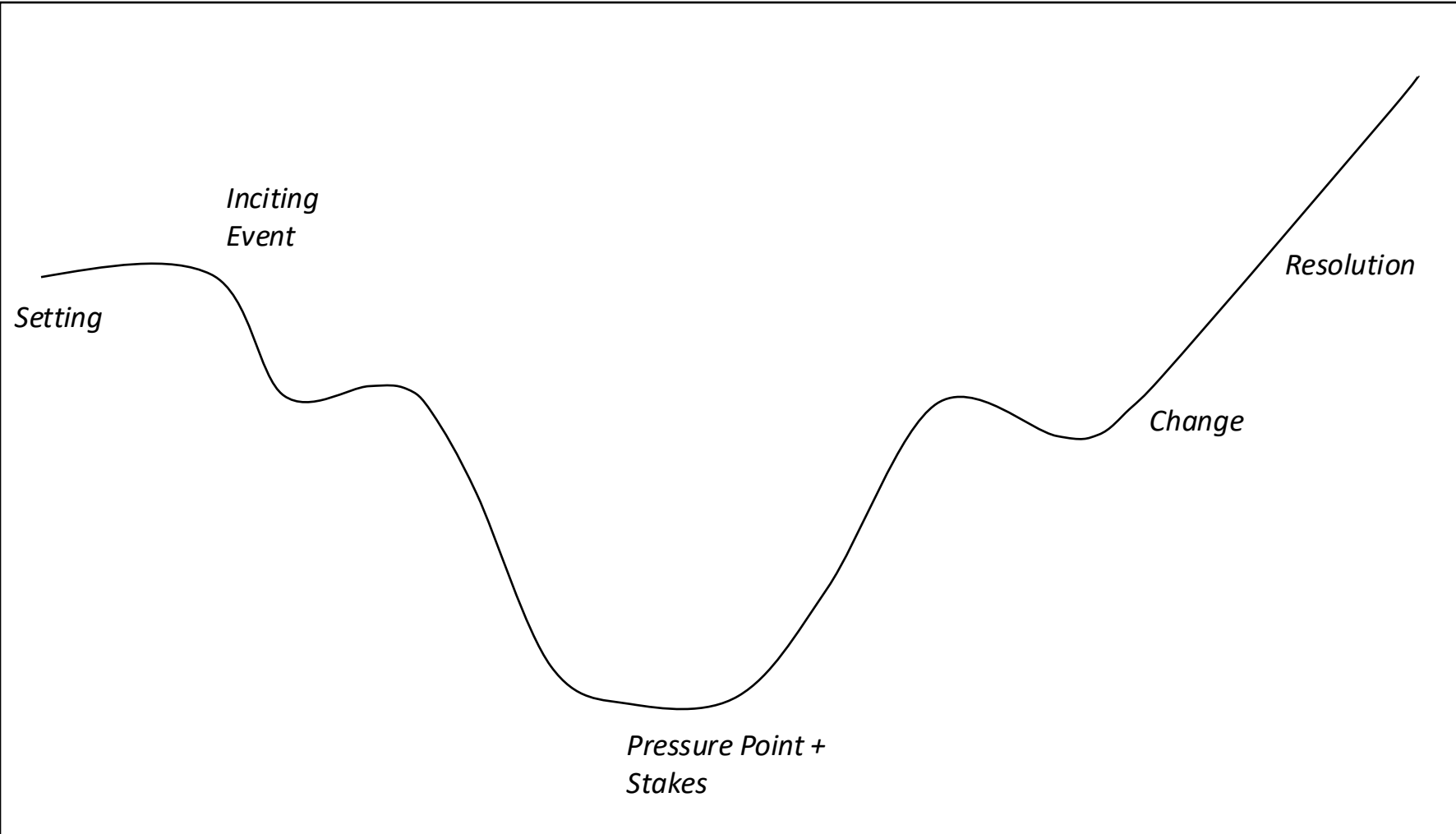
Story Headline

Purpose:
WIIFM?

The Audience
Who are they?
WIIFT?
Beliefs

Controlling Idea

Protagonist
Antagonist
Conflict



Creative techniques

- ☐ Limitations
- ☐ Details, facts, anecdotes
- ☐ Mystery Box
- ☐ Metaphors
- ☐ Cultural references
- ☐ Simplicity
- ☐ Show, don't tell
- ☐ Interact

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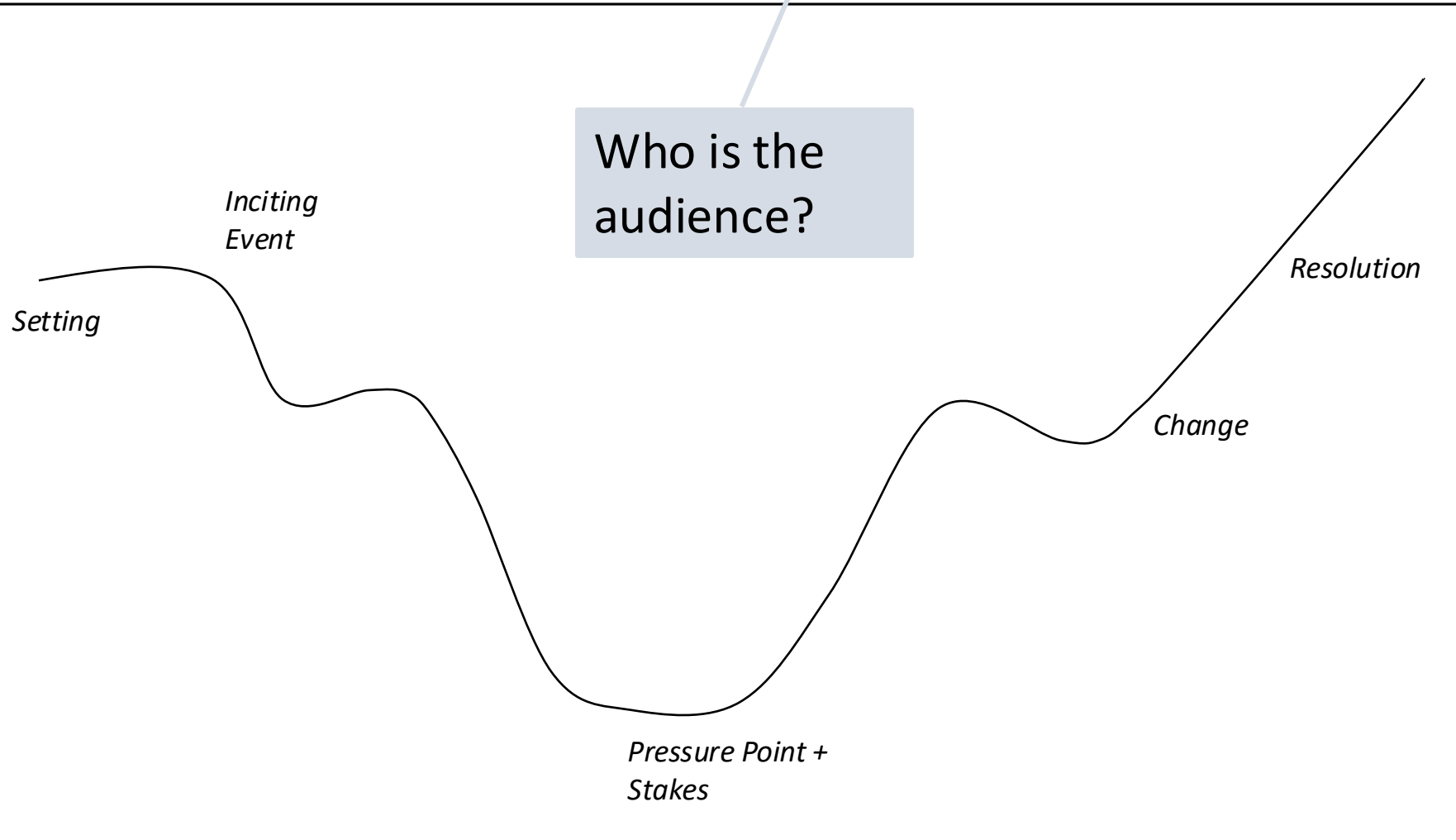
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Who is the audience?





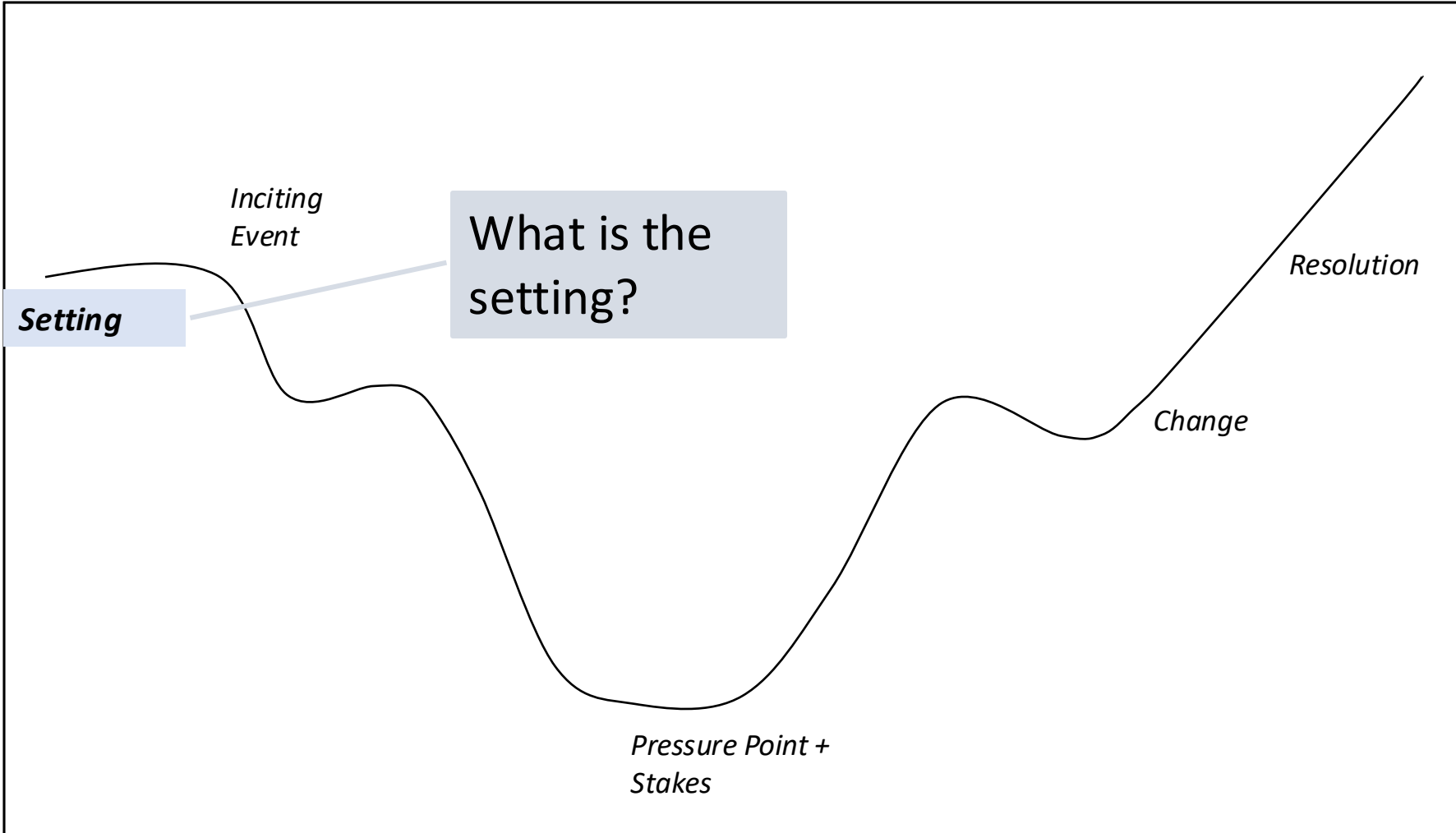
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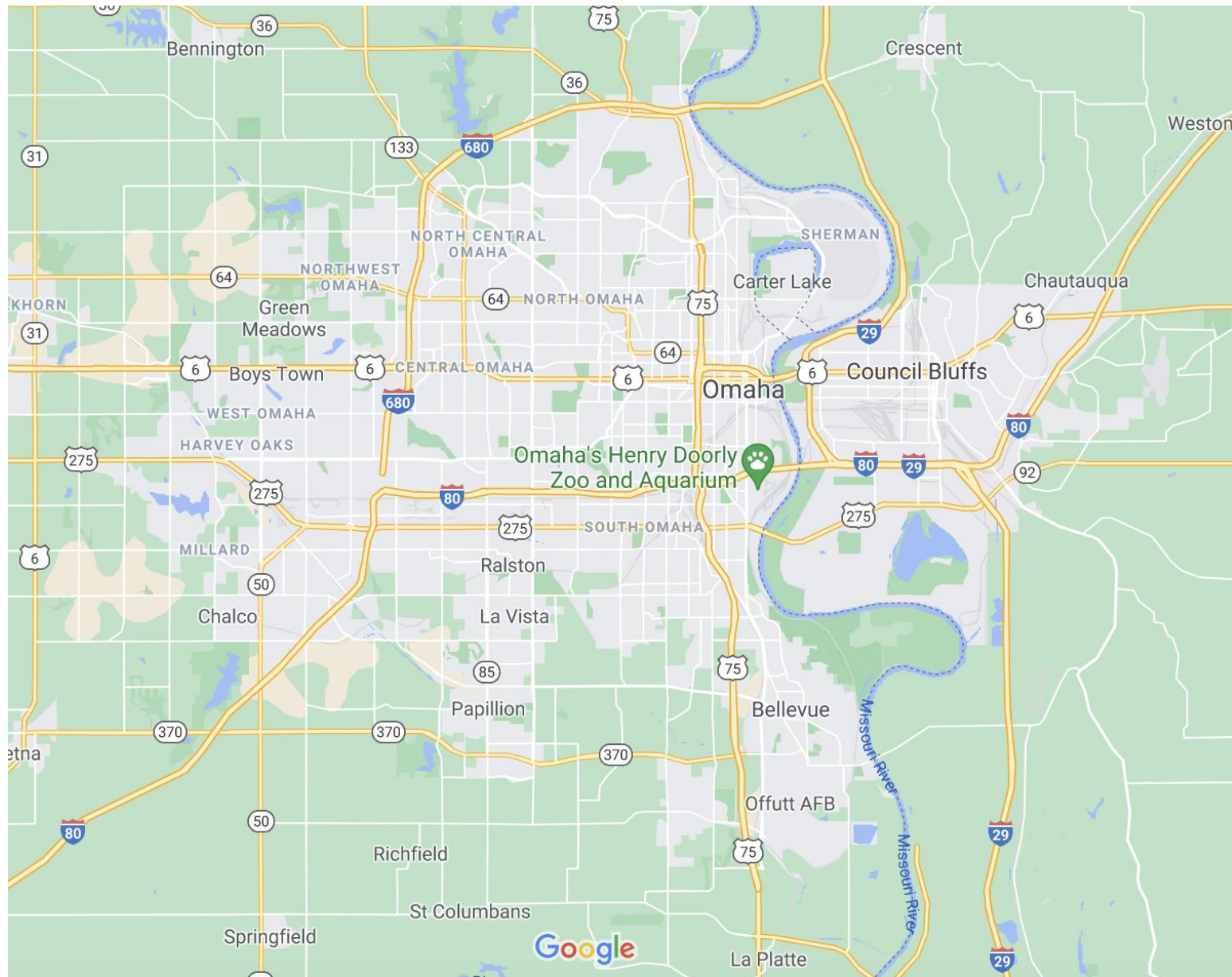
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Buffett famously lives well below his means. He has been known to drive an older, modest car. He still resides in the house he bought in Omaha, Nebraska, for \$31,500 in 1958.



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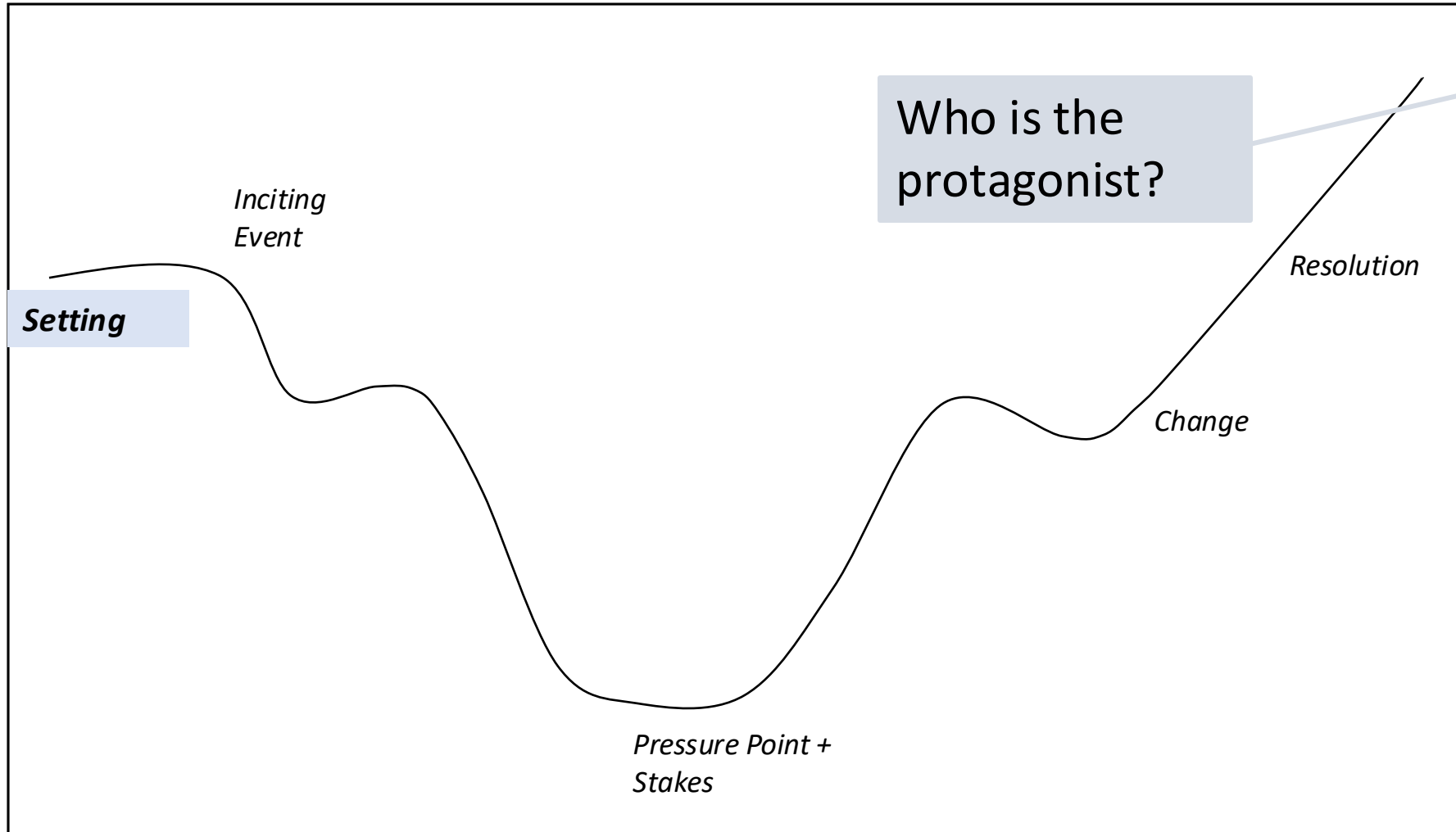
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Why do we like Buffett so much?



“A simple rule dictates my buying: Be fearful when others are greedy, and be greedy when others are fearful. And most certainly, fear is now widespread, gripping even seasoned investors... But fears regarding the long-term prosperity of the nation’s many sound companies make no sense.”

“For 240 years it’s been a terrible mistake to bet against America, and now is no time to start. America’s golden goose of commerce and innovation will continue to lay more and larger eggs.”



FRUIT OF THE LOOM®



2017: Buffett announces partnership with "Big Jim", a family business with a dream

* * * * *

We were able to make one sensible stand-alone purchase last year, a 38.6% partnership interest in Pilot Flying J ("PFJ"). With about \$20 billion in annual volume, the company is far and away the nation's leading travel-center operator.

PFJ has been run from the get-go by the remarkable Haslam family. "Big Jim" Haslam began with a dream and a gas station 60 years ago. Now his son, Jimmy, manages 27,000 associates at about 750 locations throughout North America. Berkshire has a contractual agreement to increase its partnership interest in PFJ to 80% in 2023; Haslam family members will then own the remaining 20%. Berkshire is delighted to be their partner.

When driving on the Interstate, drop in. PFJ sells gasoline as well as diesel fuel, and the food is good. If it's been a long day, remember, too, that our properties have 5,200 showers.

* * * * *



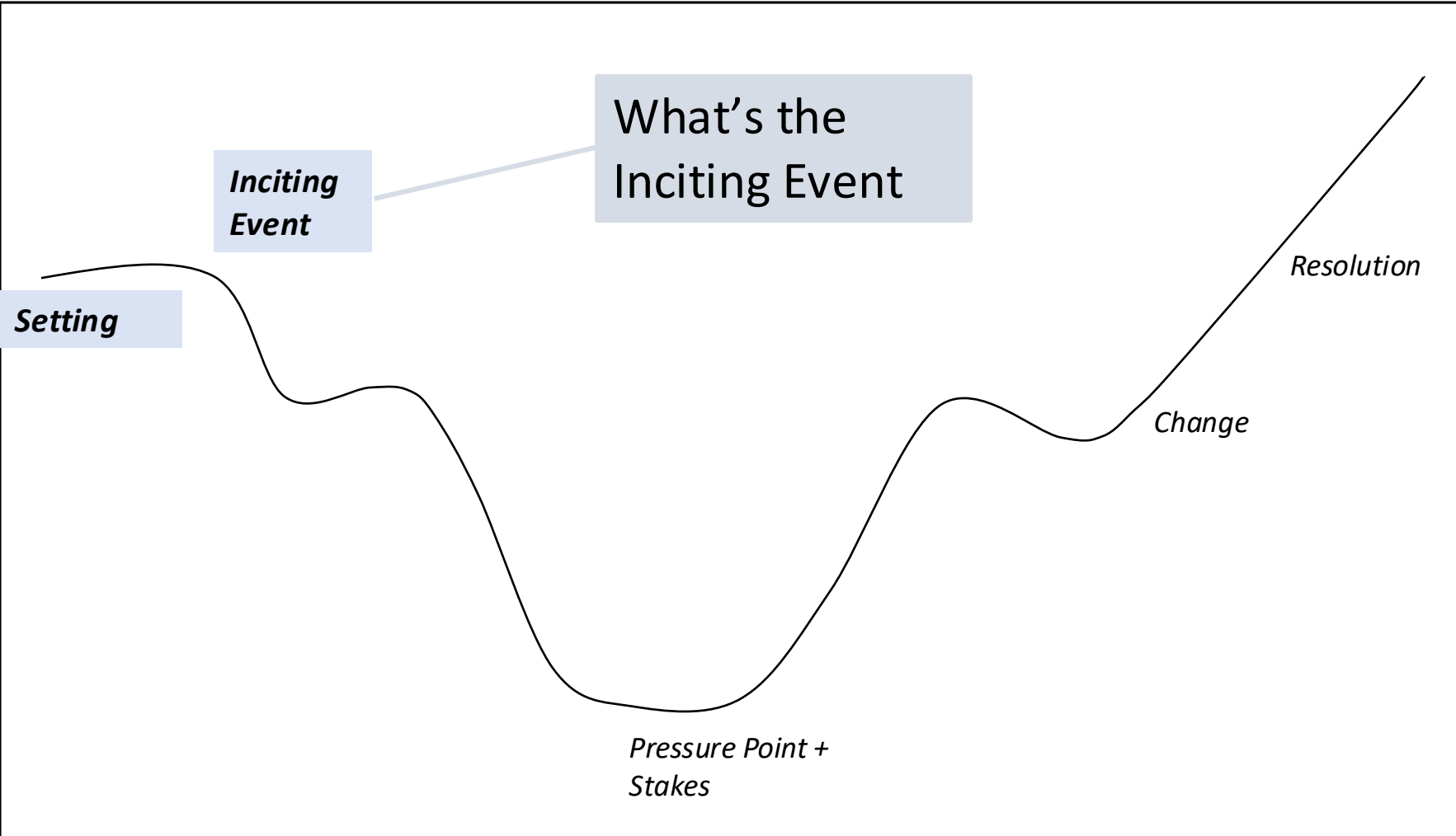
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What do you think is the
inciting event in Buffett's story?

Multiple, recurring inciting events

- The 1987 crash (Black Monday)
- The Dot-com bubble
- The 2008 financial crisis
- Covid

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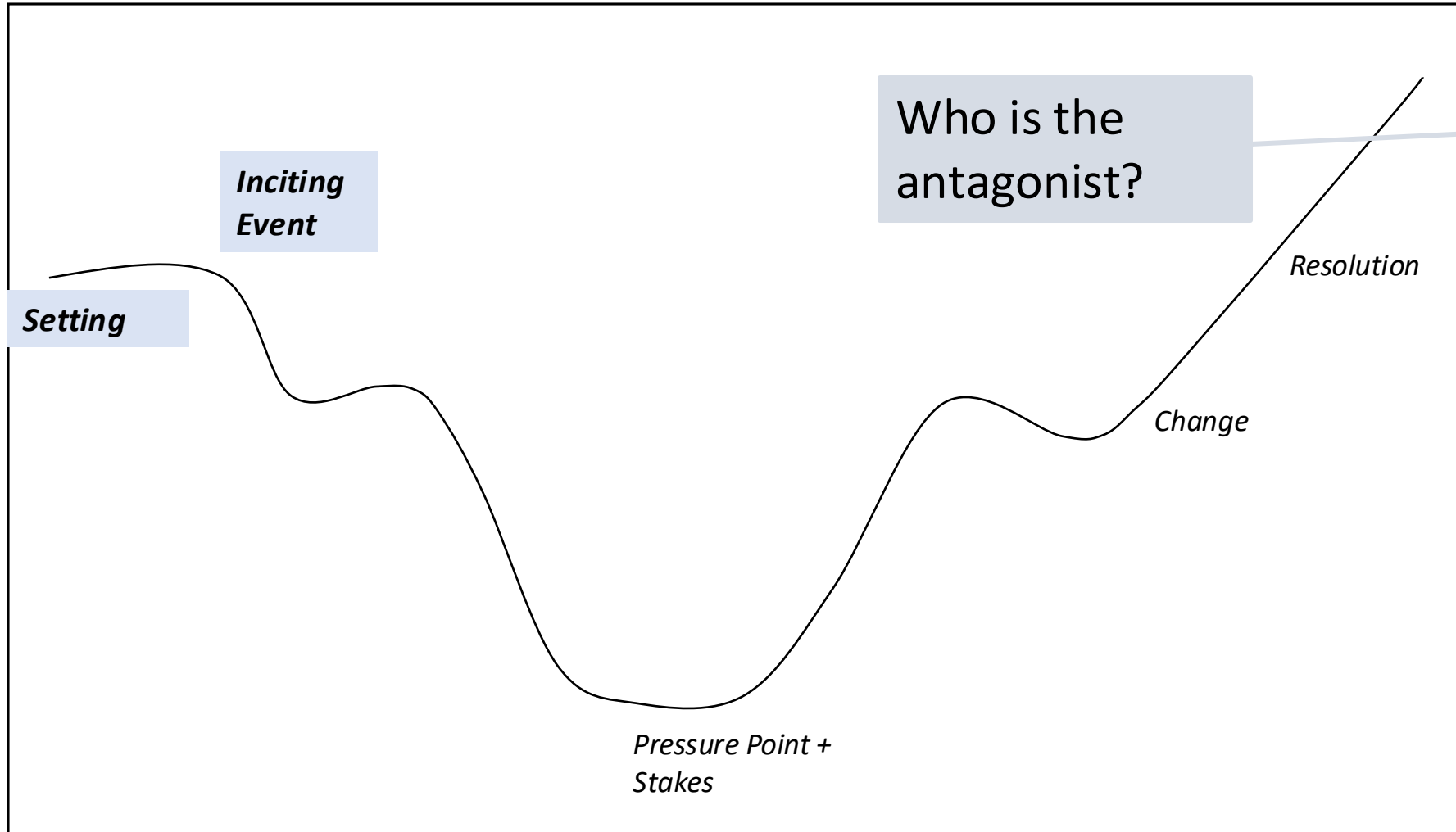
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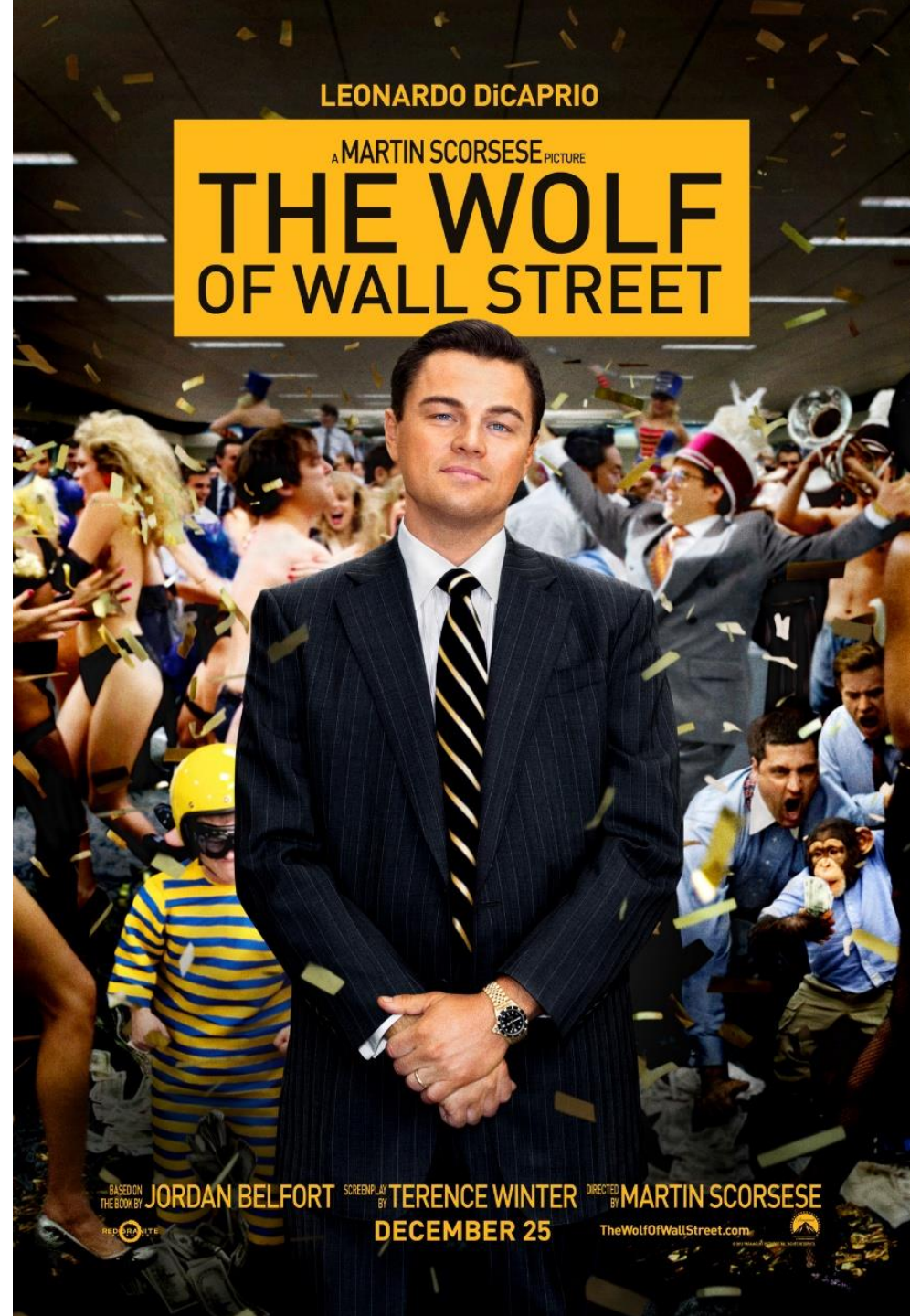
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Wall Street



“Though markets are generally rational,
they occasionally do crazy things.
Seizing the opportunities then offered
**does not require great intelligence,
a degree in economics or a familiarity with
Wall Street jargon such as alpha and beta.”**

Buffett, Annual Shareholder Letter, 2017

Berkshire Hathaway Acquisition Criteria

Number 6:

Simple businesses
(if there's lots of technology,
we won't understand it)

Find your moat



“The **most important** thing [is] trying to find a business with a wide and **long-lasting moat** around it ... **protecting** a terrific **economic castle**, with an honest lord in charge of the castle”

Buffett, at Berkshire Hathaway’s Annual Shareholders Meeting, 1995

Just as moats of medieval castles served to protect the castle’s riches from invaders, an **economic moat** refers to a business’ ability to maintain competitive advantage in order to protect its market share and long-term profits

Buy and hold

“Long ago, Sir Isaac Newton gave us three laws of motion, which were the work of genius. But Sir Isaac’s talents didn’t extend to investing: He lost a bundle in the South Sea Bubble, explaining later, “I can calculate the movement of the stars, but not the madness of men.”

If he had not been traumatized by this loss, Sir Isaac might well have gone on to discover **the Fourth Law of Motion: For investors as a whole, returns decrease as motion increases.”**

Buffett, Annual Shareholder Letter, 2005

“In all the professions, there is value added by the professionals as a group compared to doing it yourself or just randomly picking laymen. ...

In the investment world it isn't true. The active group, the people that are professionals in aggregate... cannot do better than the aggregate of the people who just sit tight.”

Warren Buffett

“You ask a hedge fund operator why they charge 2 and 20, and they say ‘because I can’t get 3 and 30.’ ... **[For hedge funds], it's not about thinking what is fair and right, but merely ‘how much can I get?’** It’s a ghastly culture...”

Charlie Munger

2005: The 10-year bet against Wall Street

Buffett offers to wager \$500,000 (for charity) that no investment professional could select a set of at least five hedge funds that would match the performance of an unmanaged S&P 500 index fund. The bet was to last ten years and Buffett picked a low-cost Vanguard S&P fund as his contender.

2007: Challenge accepted



Ted Seides, former President and co-CIO at Protégé Partners, LLC

2017: Victory

Buffett claims victory, with his pick of a Vanguard S&P index fund delivering an average annual return of 8.5% compared to the fund-of-funds' 2.4% average annual gain.

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**What is the
Controlling Idea?**

Setting

**Inciting
Event**

Resolution

Change

*Pressure Point +
Stakes*

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Warren Buffett:
The **only one** who plays by the rules

Will investors or regulators have concerns when the company is no longer led by the most famous and most trusted of American capitalists?

Buffett here repeats his fundamental view:

regulators and investors like Berkshire because it plays by the rules, is wildly overcapitalized and makes sure its subsidiaries, from insurance to power generation, are overcapitalized too.

Corporate Governance

Corporate Governance is the set of rules, practices and processes put in place to direct and control a company, often through its Board of Directors, making sure the company is accountable to its shareholders and stakeholders

BUSINESS INSIDER

Warren Buffett, Jamie Dimon, and 11 other US corporate titans want common sense to replace America's worst business practices

By [Bob Bryan](#)

Jul 21, 2016, 3:43 PM GMT+3

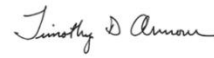
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Some of the biggest names in American business want companies to change their behavior.



Warren Buffett, Jamie Dimon, and more signed on to a list of suggested changes for companies to adopt, titled "[Commonsense Corporate Governance Principles](#)."

As we have said before, this is not an academic exercise. Americans depend on our public companies for jobs, savings for college, savings to buy a home, and retirement. We ask others to join us in committing to these Principles and to a more secure financial future.



Tim Armour
CAPITAL GROUP



Mary Barra
GENERAL MOTORS



Ed Breen
DOWDUPONT



Warren Buffett
BERKSHIRE
HATHAWAY



Jamie Dimon
JPMORGAN CHASE



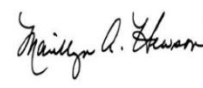
Mary Erdoes
J.P. MORGAN ASSET
MANAGEMENT



Larry Fink
BLACKROCK



Alex Gorsky
JOHNSON &
JOHNSON



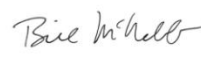
Marilyn Hewson
LOCKHEED MARTIN



Mark Machin
CPP INVESTMENT
BOARD



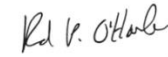
Lowell McAdam
VERIZON



Bill McNabb
VANGUARD



Brian Moynihan
BANK OF AMERICA



Ronald O'Hanley
STATE STREET
GLOBAL ADVISORS



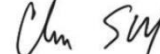
James Quincey
COCA-COLA



Ginni Rometty
IBM



Brian Rogers
T. ROWE PRICE



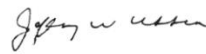
Charles Scharf
BNY MELLON



Randall Stephenson
AT&T



David Taylor
PROCTER & GAMBLE



Jeff Ubben
VALUEACT CAPITAL



Dion Weisler
HP



Theresa Whitmarsh
WASHINGTON STATE
INVESTMENT BOARD

Excerpt from

“Commonsense Corporate Governance Principles”

“A little more than two years ago, we published the
Commonsense Principles of Corporate Governance...

We said then, and it is no less true today, that the
long-term prosperity of millions of American workers,
retirees and investors **depends on the effective**
governance of our public companies...”

Stock options as “Lottery Tickets”

Ironically, the rhetoric about options frequently describes them as desirable because they put managers and owners in the same financial boat.

In reality, the boats are far different. No owner has ever escaped the burden of capital costs, whereas a holder of a fixed-price option bears no capital costs at all. An owner must weigh upside potential against downside risk; an option holder has no downside... The **business project** in which you would **wish to have an option** frequently is a **project in which you would reject ownership**. I'll be happy to accept a lottery ticket as a gift – but I'll never buy one.

Buffett, Annual Shareholder Letter, 1985

Fighting income inequality

“There’s class warfare, all right,
but it’s my class, the rich class,
that’s making war, and we’re winning.”

My Philanthropic Pledge

Warren Buffett

In 2006, I made a commitment to gradually give all of my Berkshire Hathaway stock to philanthropic foundations. I couldn't be happier with that decision.

Now, Bill and Melinda Gates and I are asking hundreds of rich Americans to pledge at least 50% of their wealth to charity. So I think it is fitting that I reiterate my intentions and explain the thinking that lies behind them.

First, my pledge: More than 99% of my wealth will go to philanthropy during my lifetime or at death. Measured by dollars, this commitment is large. In a comparative sense, though, many individuals give more to others every day.

Millions of people who regularly contribute to churches, schools, and other organizations thereby relinquish the use of funds that would otherwise benefit their own families. The dollars these people drop into a collection plate or give to United Way mean forgone movies, dinners out, or other personal pleasures. In contrast, my family and I will give up nothing we need or want by fulfilling this 99% pledge.

Moreover, this pledge does not leave me contributing the most precious asset, which is *time*. Many people, including -- I'm proud to say -- my three children, give extensively of their own time and talents to help others. Gifts of this kind often prove far more valuable than money. A struggling child, befriended and nurtured by a caring mentor, receives a gift whose value far exceeds what can be bestowed by a check. My sister, Doris, extends significant person-to-person help daily. I've done little of this.

What I can do, however, is to take a pile of Berkshire Hathaway stock certificates -- "claim checks" that when converted to cash can command far-ranging resources -- and commit them to benefit others who, through the luck of the draw, have received the short straws in life. To date about 20% of my shares have been distributed (including shares given by my late wife, Susan Buffett). I will continue to annually distribute about 4% of the shares I retain. At the latest, the proceeds from all of my Berkshire shares will be expended for philanthropic purposes by 10 years after my estate is settled. Nothing will go to endowments; I want the money spent on current needs.

This pledge will leave my lifestyle untouched and that of my children as well. They have already received significant sums for their personal use and will receive more in the future. They live comfortable and productive lives. And I will continue to live in a manner that gives me everything that I could possibly want in life.

Some material things make my life more enjoyable; many, however, would not. I like having an expensive private plane, but owning a half-dozen homes would be a burden. Too often, a vast collection of possessions ends up possessing its owner. The asset I most value, aside from health, is interesting, diverse, and long-standing friends.

My wealth has come from a combination of living in America, some lucky genes, and compound interest. Both my children and I won what I call the ovarian lottery. (For starters, the odds against my 1930 birth taking place in the U.S. were at least 30 to 1. My being male and white also removed huge obstacles that a majority of Americans then faced.)

My luck was accentuated by my living in a market system that sometimes produces distorted results, though overall it serves our country well. I've worked in an economy that rewards someone who saves the lives of others on a battlefield with a medal, rewards a great teacher with thank-you notes from parents, but rewards those who can detect the mispricing of securities with sums reaching into the billions. In short, fate's distribution of long straws is wildly capricious.

The reaction of my family and me to our extraordinary good fortune is not guilt, but rather gratitude. Were we to use more than 1% of my claim checks on ourselves, neither our happiness nor our well-being would be enhanced. In contrast, that remaining 99% can have a huge effect on the health and welfare of others. That reality sets an obvious course for me and my family: Keep all we can conceivably need and distribute the rest to society, for its needs. My pledge starts us down that course.



So, what is the Controlling Idea of Buffett's story?

Value + Message:

What is the VALUE at the heart of the story?

What is the message Buffett communicates to us about that value?

What's the over-arching “Meta” story here?

- Lives a frugal life in Omaha, in the same house for 60+ years
- Created immense wealth for all shareholders
- Buys “America”, brands that we know
- Anti Wall Street, simple rules of investment, “Buy and Hold”
- Invests only in companies with “moats”
- Adheres to strong corporate governance and integrity
- Opposes stock options and inflated compensation packages
- Concerned with inequality, will donate most of his wealth to charity

Discussion

The value: Capitalism

The idea: When Capitalism is
“done right”, everybody wins

They handle all of these business tasks cheerfully and with unbelievable efficiency, making my life easy and pleasant. Their efforts go beyond activities strictly related to Berkshire: Last year, for example, they dealt with the 40 universities (selected from 200 applicants) who sent students to Omaha for a Q&A day with me. They also handle all kinds of requests that I receive, arrange my travel, and even get me hamburgers and French fries (smothered in Heinz ketchup, of course) for lunch. In addition, they cheerfully pitch in to help at the annual meeting in whatever way they are needed. They are proud to work for Berkshire, and I am proud of them.

* * * * *

I've saved the best for last. Early in 2018, Berkshire's board elected Ajit Jain and Greg Abel as directors of Berkshire and also designated each as Vice Chairman. Ajit is now responsible for insurance operations, and Greg oversees the rest of our businesses. Charlie and I will focus on investments and capital allocation.

You and I are lucky to have Ajit and Greg working for us. Each has been with Berkshire for decades, and Berkshire's blood flows through their veins. The character of each man matches his talents. And that says it all.

Come to Omaha – the cradle of capitalism – on May 5th and meet the Berkshire Bunch. All of us look forward to your visit.

February 24, 2018

Warren E. Buffett
Chairman of the Board



So, why do 40,000 people
come to Omaha, Nebraska?

“If you [ask] those 40,000 people... how it has done versus the S&P... they are not going to answer overwhelmingly. What they are going to say is that essentially every one of them has had a profit... they know they’re exactly in my shoes and Charlie’s shoes and **they like owning, really, part of America.**”

After the break,
a different story...

BREAK

Does Buffett still possess
the magic touch?

Two parts to the Berkshire Hathaway story

Share price relative to S&P 500, with dividends reinvested
(100 = 1 Jan 1979, log scale)

From January 1979 to October 2008
Berkshire Hathaway outperformed the
US market by 12.6% on average each
year, a cumulative outperformance of
over 3,000 per cent...

...but its subsequent
performance has been
behind the market



Graphics: Keith Fray, Alan Smith Source: Refinitiv
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Warren Buffett Faces Impatient Investors as Berkshire Hathaway Returns Decline

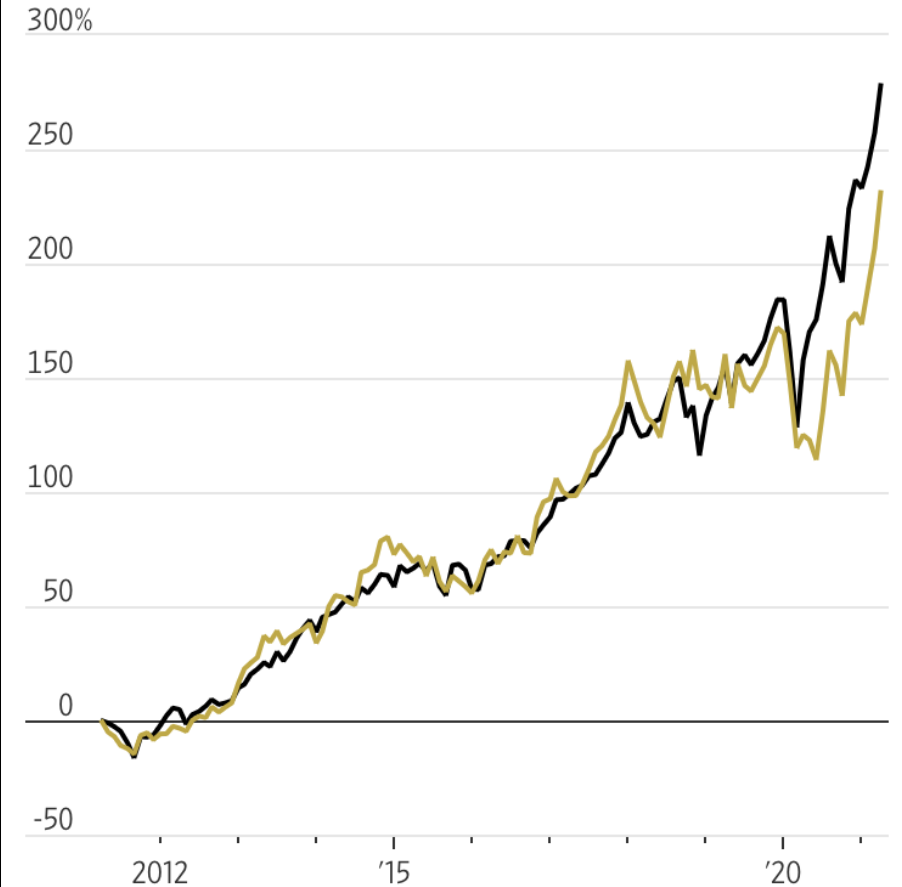
Institutional shareholders are pressing for change on climate and governance at the Omaha, Neb., conglomerate



Falling Behind

Total return

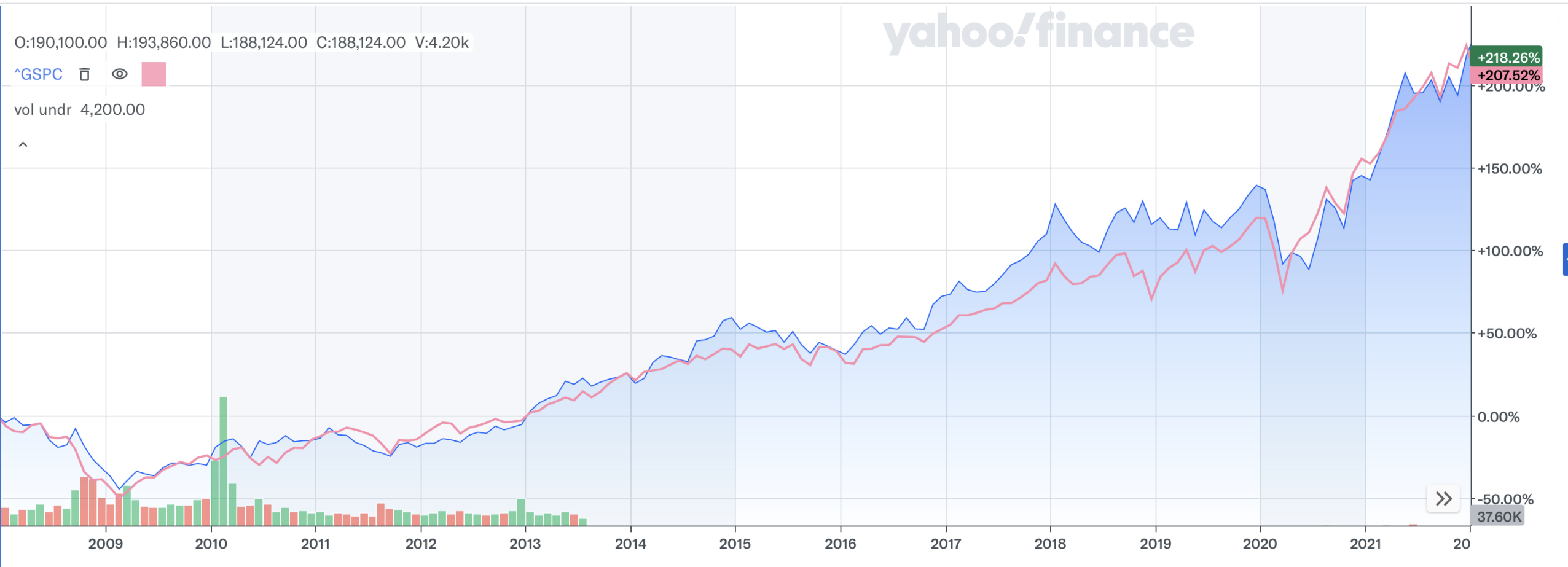
■ Berkshire Hathaway Class B stock ■ S&P 500



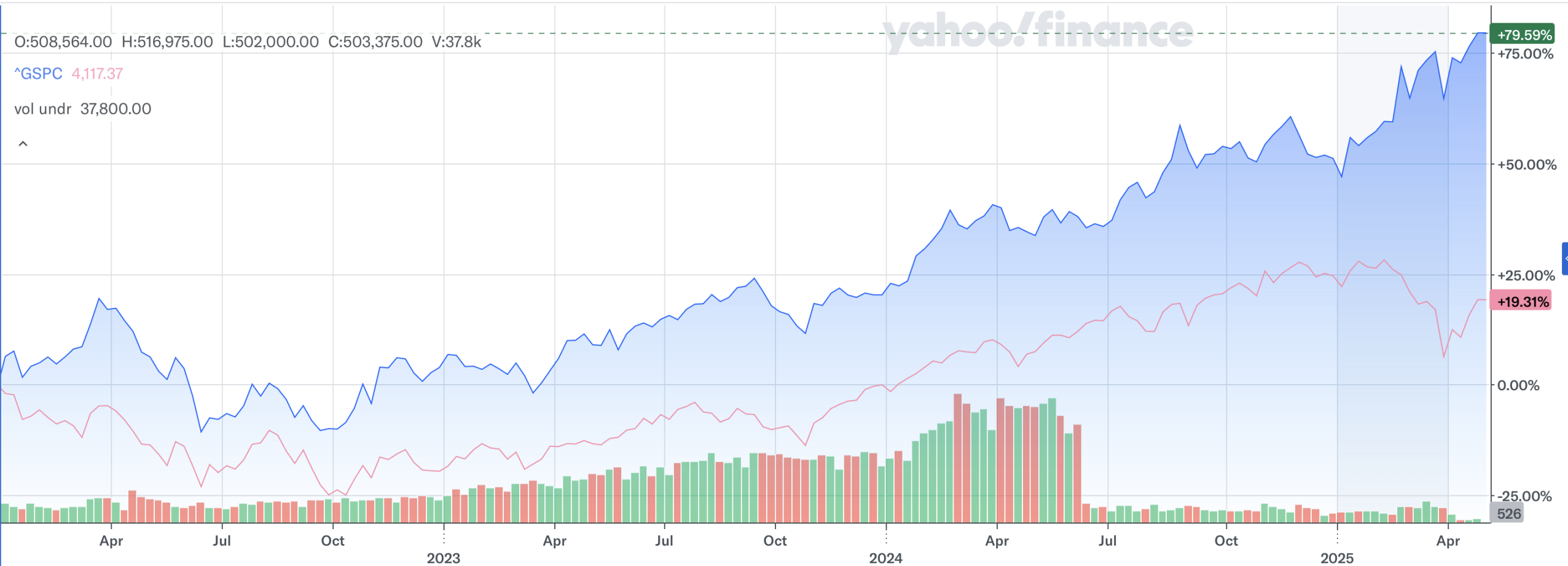
Note: Cumulative total returns

Source: FactSet

For 14 years, it hasn't out-performed the S&P 500



In the past 30 months, performance has improved



What happened
in the past 30 months?

Warren Buffett buys \$1bn of Apple stocks in first for Berkshire Hathaway

Conglomerate buys 9.8m shares of Apple in surprise move that equates to a bet that shares will rebound after sales dropped for first time in more than a decade



📷 Warren Buffett is the world's third richest person with a \$66.5bn fortune, according to Forbes magazine. Photograph: John Peterson/AP

Warren Buffett's Berkshire Hathaway has bought \$1bn worth of Apple shares in a bet that the iPhone-maker will bounce back from a recent slump.

The Guardian, Amy 16, 2016

- Increased shares by 0.2% (+2.09 Million shares)
Q3 2018

- Increased shares by 5.2% (+49.6 Million shares)
Q2 2018

- Increased shares by 44.9% (+297 Million shares)
Q1 2018

- Increased shares by 23.3% (+125 Million shares)
Q4 2017

- Increased shares by 3.0% (+15.6 Million shares)
Q3 2017

- Increased shares by 0.6% (+3.34 Million shares)
Q2 2017

- Increased shares by 125.5% (+288 Million shares)
Q1 2017

- Increased shares by 276.7% (+169 Million shares)
Q4 2016

- Increased shares by 55.2% (+21.7 Million shares)
Q2 2016

- New holding (+39.2 Million shares)
Q1 2016

How much of Apple did Buffett buy?
How much did Apple shares
constitute of his portfolio?

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Apple Makes Up Nearly Half of Warren Buffett's Portfolio. Here's Why He Should Consider Selling Some

By [Keithen Drury](#) – Apr 8, 2023 at 7:15AM

How much discussion did Buffett
dedicate to Apple,
his largest holding,
in the 2022 shareholder letter?

Close to zero...

A second positive development for Berkshire last year was our purchase of Alleghany Corporation, a property-casualty insurer captained by Joe Brandon. I've worked with Joe in the past, and he understands both Berkshire and insurance. Alleghany delivers special value to us because Berkshire's unmatched financial strength allows its insurance subsidiaries to follow valuable and enduring investment strategies unavailable to virtually all competitors.

Aided by Alleghany, our insurance float increased during 2022 from \$147 billion to \$164 billion. With disciplined underwriting, these funds have a decent chance of being *cost-free* over time. Since purchasing our first property-casualty insurer in 1967, Berkshire's float has increased 8,000-fold through acquisitions, operations and innovations. Though *not* recognized in our financial statements, this float has been an extraordinary asset for Berkshire. New shareholders can get an understanding of its value by reading our annually updated explanation of float on page A-2.

* * * * *

A *very* minor gain in per-share intrinsic value took place in 2022 through Berkshire share repurchases as well as similar moves at **Apple** and American Express, both significant investees of ours. At Berkshire, we directly increased your interest in our unique collection of businesses by repurchasing 1.2% of the company's outstanding shares. At **Apple** and Amex, repurchases increased Berkshire's ownership a bit without any cost to us.

But what about his rules and principles?

Remember this Acquisition Criteria?

Number 6:

Simple businesses
(if there's lots of technology,
we won't understand it)



Why did Buffett ignore his own rule?

Maybe because of Apple's moat?



What IS an economic moat,
really?

A Monopoly

Or: A company with **significant** market power



News

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PRESS RELEASE

Justice Department Sues Apple for Monopolizing Smartphone Markets

Thursday, March 21, 2024

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For Immediate Release

Office of Public Affairs

Apple's Broad-Based, Exclusionary Conduct Makes It Harder for Americans to Switch Smartphones, Undermines Innovation for Apps, Products, and Services, and Imposes Extraordinary Costs on Developers, Businesses, and Consumers

The Justice Department, joined by 16 other state and district attorneys general, filed a civil antitrust lawsuit against Apple for monopolization or attempted monopolization of smartphone markets in violation of Section 2 of the Sherman Act.

What is Apple's most profitable line of business?

Google's Antitrust Crisis: Ad Tech Case Loss | DOJ Pushes Breakup | What's at Stake? | Antitrust's Long Shadow

Industries
Legal

Google's Payments to Apple Reached \$20 Billion in 2022, Antitrust Court Documents Show

By Leah Nylen

May 1, 2024 at 6:09 PM EDT



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This article is for **subscribers only**.

Alphabet Inc. paid Apple Inc. \$20 billion in 2022 for Google to be the default search engine in the Safari browser, according to newly unsealed court documents in the Justice Department's antitrust lawsuit against Google.



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Google search payment makes up 14-16% of Apple's profits; if that's banned, what then?



Ben Lovejoy | Oct 11 2023 - 4:11 am PT | 💬 33 Comments



Warren loves moats (i.e., monopolies)

Industry	Buffett's Investments	Market Share	Industry Leaders
Credit & debit cards	Visa, Mastercard, Amex	99	Visa, Mastercard, American Express
Credit rating agency	Moody's	95	S&P, Moody's, Fitch
Kidney dialysis	Davita	92	Fresenius, Davita
Rail transportation	BNSF Railway	87	BNSF, Union Pacific, CSX, Norfolk Southern
Paint	Benjamin Moore	84	Sherwin-Williams, Benjamin Moore, Behr
Courier	UPS	82	UPS, FedEx
Domain names	Verisign	80	Verisign
Domestic airlines	DAL, AAL, UAL, LUV	80	Delta, American, United, Southwest
Batteries	Duracell	75	Duracell, Energizer
Mobile homes	Clayton Homes	71	Clayton Homes, Champion, Cavco
Gold & silver mining	Barrick Gold	66	Newmont, Gold, AngloGold, Kinross
Soda	Coca-Cola	57	Coca-Cola, PepsiCo, Keurig Dr Pepper
Commercial Banking	JPM, BAC, WFC, USB, BK	44	JPM, BAC, WFC, C, USB

Buy and hold?

Warren Buffett Sold His Apple Stock — Here's Why



Caitlyn Moorhead
February 15, 2025 • 3 min read



Warren Buffett Timed His Apple Stock Sale to Perfection. What's Next?

Berkshire Hathaway's huge cash pile has investors wondering what he will buy and when

By *Spencer Jakab* [Follow](#)

April 22, 2025 at 7:00 am ET



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ILLUSTRATION: ELENA SCOTTI/WSJ, GETTY IMAGES

Warren Buffett's Berkshire Hathaway finally bails on Wells Fargo



By [Paul R. La Monica](#), CNN Business

🕒 3 minute read · Updated 1:25 PM EDT, Tue May 17, 2022



Anti Wall Street?

Buffett's favorite sector for decades



MOODY'S

Jefferies



Warren Buffett's Berkshire Hathaway bought \$5 billion of preferred stock in Goldman Sachs during the 2008 financial crisis.

In 2011, Goldman Sachs redeemed the shares, earning Berkshire Hathaway a profit of \$3.7 billion.



Lloyd Blankfein, Goldman Sachs Chairman and CEO, 2006-2018, with a friend

1990: Buffett buys 5M shares of Wells Fargo for \$289M
2018: Buffett's shares in Wells Fargo are worth \$20.7B

“...Wells Fargo, a superbly-managed, high-return banking operation in which we increased our ownership to just under 10%, the most we can own without the approval of the Federal Reserve Board.

With Wells Fargo, we think we have obtained the best managers in the business...”

Buffett, Annual Shareholder Letter, 1990

Integrity?



Moody's to pay \$864 million to settle lawsuits with feds, 21 states

By Steve Almasy, CNN

🕒 2 minute read · Published 11:39 PM EST, Fri January 13, 2017



Wells Fargo Scandal

2010 Annual Letter – *“Wells Fargo... consistently prospering throughout the worst of the recession and currently enjoying enormous financial strength and earning power”.*

2011 Annual Letter – *“The banking industry is back on its feet, and Wells Fargo is prospering. Its earnings are strong, its assets solid and its capital at record levels”.*

Dec. 21, 2013 – The *Los Angeles Times* reports that "relentless pressure to sell has battered employee morale and led to ethical breaches" at Wells Fargo. "To meet quotas, employees have opened unneeded accounts for customers, ordered credit cards without customers' permission, and forged client signatures on paperwork."

Sept. 8, 2016 – The Consumer Financial Protection Bureau (CFPB) reveals that thousands of Wells Fargo employees opened 2 million deposit and credit card accounts that consumers may not have authorized.

2018 – Wells Fargo agrees to pay \$3B in fines: “This case illustrates a complete failure of leadership at multiple levels within the Bank. Simply put, Wells Fargo traded its hard-earned reputation for short-term profits, and harmed untold numbers of customers along the way,” said U.S. Attorney Nick Hanna for the Central District of California.

**Berkshire Hathaway
Annual Shareholder Letter**

Year	# WF References
2010	4
2011	4
2012	5
2013	3
2014	5
2015	3
2016	1
2017	1
2018	2





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PRESS RELEASE

Wells Fargo Agrees to Pay \$3 Billion to Resolve Criminal and Civil Investigations into Sales Practices Involving the Opening of Millions of Accounts without Customer Authorization

Friday, February 21, 2020

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For Immediate Release

Office of Public Affairs

Warren Buffett is having “more fun than any 88-year-old in the world” while ignoring the plight of thousands of employees whose lives have been forever destroyed by Wells Fargo’s rogue managers. **He sat silent while billions in shareholder funds were wasted to pay huge government legal settlements to keep management out of prison... he is no Sage of Omaha to the employees and customers affected**, and to those who strive to ensure that banking is an ethical business.

Eddie Tuvin, banking mid-manager

Well, at least in the tech sector
we don't have these integrity
issues, right?

Apple exec ‘outright lied’ during Epic trial



Image: Cath Virginia / The Verge



Jay Peters is a news editor covering technology, gaming, and more. He joined The Verge in 2019 after nearly two years at Techmeme.

/ Judge Yvonne Gonzalez Rogers writes that finance VP Alex Roman’s testimony was ‘replete with misdirection and outright lies.’

by Jay Peters
May 1, 2025.



MARKETS BUSINESS INVESTING TECH POLITICS VIDEO INVESTING CLUB JOIN PRO JOIN LIVESTREAM

Apple says it will appeal after court finds company, executive lied under oath in Epic Games trial

PUBLISHED WED, APR 30 2025•6:50 PM EDT | UPDATED THU, MAY 1 2025•10:27 AM EDT

Kif Leswing
@KIFLESWING

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KEY POINTS

- Apple willfully violated and ignored a 2021 decision that came out of the Epic Games case, a federal judge found.
- “Neither Apple, nor its counsel, corrected the, now obvious, lies,” Rogers wrote.
- Rogers added that she referred the matter to U.S. attorneys to investigate whether to pursue criminal contempt proceedings on both Roman and Apple.

How does Apple align with Buffett's principles?

- Technology company
- Little transparency on holding
- Buy – and sell shortly thereafter
- Monopoly – exploiting users and developers
- Lack of integrity – lied in court

Stock options as lottery?

Coca-Cola's executive compensation "Equity Plan"

\$13B

Reserved in 500,000,000+ stock options,
performance shares, or restricted stock

How did Buffett's representative
on the board react?

His son, Howard, abstained



Coca-Cola's executive compensation plan – Buffet's response

“I’ve voted for compensation plans in various places that are far from what I would have designed myself,” Mr. Buffett said. “That is the way boards work.”

He said attempting to push changes amounts to rude corporate behavior: “You keep belching at the dinner table, you’ll be eating in the kitchen.”

Buffett, Berkshire Hathaway Annual Meeting, 2014

“You keep belching
at the dinner table,
you’ll be eating in the kitchen”

Family-owned businesses?

Remember Big Jim?

* * * * *

We were able to make one sensible stand-alone purchase last year, a 38.6% partnership interest in Pilot Flying J (“PFJ”). With about \$20 billion in annual volume, the company is far and away the nation’s leading travel-center operator.

PFJ has been run from the get-go by the remarkable Haslam family. “Big Jim” Haslam began with a dream and a gas station 60 years ago. Now his son, Jimmy, manages 27,000 associates at about 750 locations throughout North America. Berkshire has a contractual agreement to increase its partnership interest in PFJ to 80% in 2023; Haslam family members will then own the remaining 20%. Berkshire is delighted to be their partner.

When driving on the Interstate, drop in. PFJ sells gasoline as well as diesel fuel, and the food is good. If it’s been a long day, remember, too, that our properties have 5,200 showers.

* * * * *

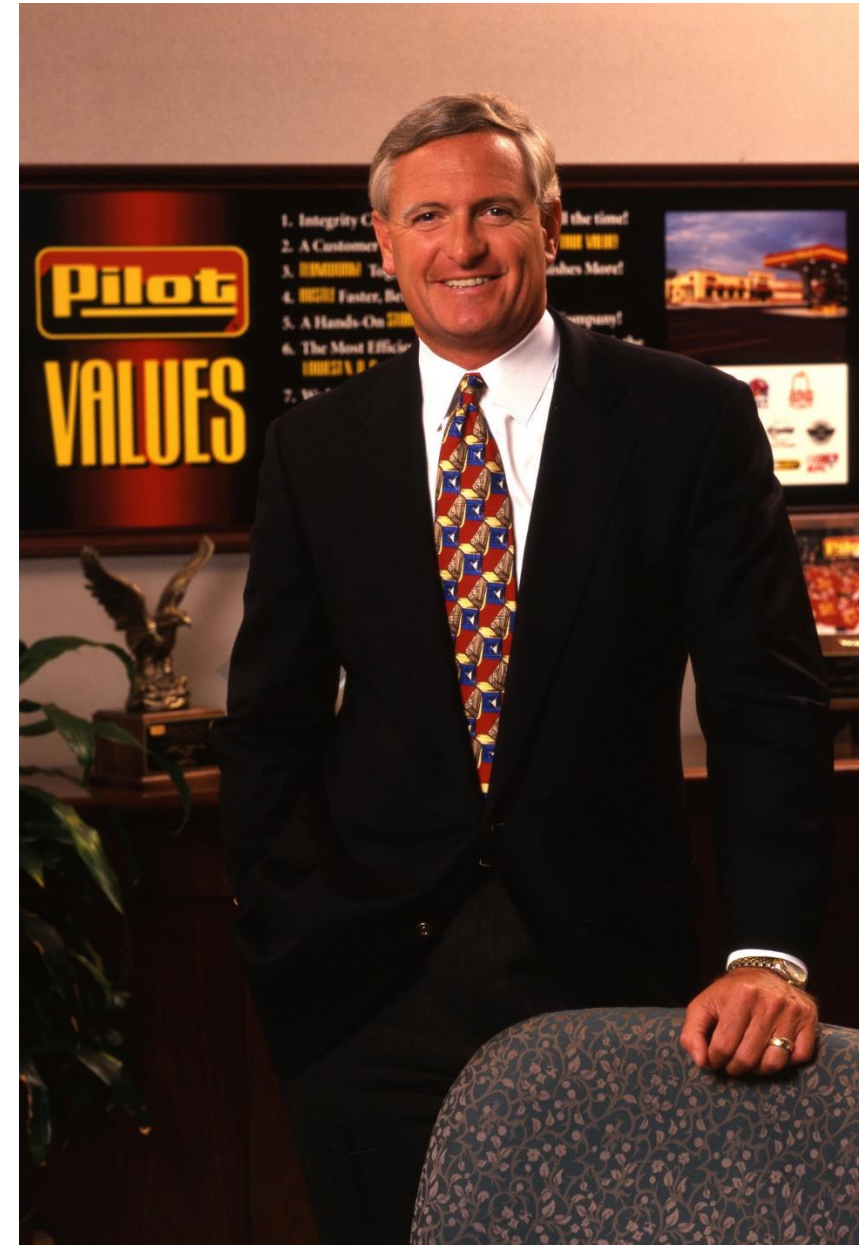


Who is this “Big Jim”?

Who is “Big Jim”?

At the time of Buffett’s purchase:

- Billionaire owner of one the nation’s largest truck-stop chains
- Owner of the Cleveland Browns
- The brother of Tennessee Governor Bill Haslam



Truck-Stop Chain Reaches Settlement With Government

Pilot Flying J Avoids Prosecution, Agrees to Pay \$92 Million in Penalties

By [Betsy Morris](#) [Follow](#) and [Cameron McWhirter](#) [Follow](#)

Updated July 14, 2014 2:17 pm ET



Pilot Flying J, the nation's largest truck-stop chain, accepted responsibility for the criminal conduct of its employees and agreed to pay \$92 million in penalties in a settlement with the federal government.

The Knoxville, Tenn.-based company has been accused of skimming fuel rebates it owed its trucking customers. The settlement, called a "criminal enforcement agreement," may help to resolve questions about Pilot's exposure but doesn't exempt anyone, including top executives, from possible prosecution in the future.

The agreement doesn't end the probe that has haunted Pilot since agents from the Federal Bureau of Investigation and the Internal Revenue Service [descended on its headquarters in April 2013](#), carrying off computers and documents.



What's Behind Warren Buffett's Fight With a Truck-Stop Mogul

As much as \$1.2 billion is at stake in an argument over a seemingly obscure accounting method

Jimmy Haslam at a Pilot Travel Center location in the truck-stop empire he and his wife, Dee, built before selling a majority stake to Berkshire Hathaway. MIKE BELLEME FOR THE WALL STREET JOURNAL

By [Jonathan Weil](#) [Follow](#)

Dec. 9, 2023 at 5:30 am ET

“Big Jim” has friends: Clayton Homes

* * * * *

Let’s move now to bolt-on acquisitions. Some of these were small transactions that I will not detail. Here is an account, however, of a few larger purchases whose closings stretched between late 2016 and early 2018.

- Clayton Homes acquired two builders of conventional homes during 2017, a move that more than doubled our presence in a field we entered only three years ago. With these additions – Oakwood Homes in Colorado and Harris Doyle in Birmingham – I expect our 2018 site built volume will exceed \$1 billion.

Clayton’s emphasis, nonetheless, remains manufactured homes, both their construction and their financing. In 2017 Clayton sold 19,168 units through its own retail operation and wholesaled another 26,706 units to independent retailers. All told, Clayton accounted for 49% of the manufactured-home market last year. That industry-leading share – about three times what our nearest competitor did – is a far cry from the 13% Clayton achieved in 2003, the year it joined Berkshire.

Both Clayton Homes and PFJ are based in Knoxville, where the Clayton and Haslam families have long been friends. Kevin Clayton’s comments to the Haslams about the advantages of a Berkshire affiliation, and his admiring comments about the Haslam family to me, helped cement the PFJ deal.

Warren Buffett's mobile home empire preys on the poor

Billionaire profits at every step, from building to selling to high cost lending



by Daniel Wagner and Mike Baker April 3, 2015



Kirk and Denise Pitts purchased their mobile home in 1997. They still owe more than \$39,000 on the home and land, which were valued at \$33,100 in 2013. Here, the Pitts and their son, Caine, stand in front of their home in Knoxville, Tennessee. Daniel Wagner/Center for Public Integrity

BREAKINGVIEWS JANUARY 13, 2016 / 9:58 AM / UPDATED 7 YEARS AGO

Federal probe sought for Buffett's mobile home unit

By Jonathan Stempel

3 MIN READ



(Reuters) - Senior U.S. Democratic lawmakers asked federal regulators to investigate whether Clayton Homes, the mobile home unit of Warren Buffett's Berkshire Hathaway Inc [BRKa.N](#), targets minority borrowers with discriminatory lending and collection practices.

Frugal?

In the 1980s, Buffett used to criticize companies for splurging on private jets.



Then he bought a Bombardier Challenger 600.
Aware of the contradiction with his past criticisms,
he named it the “The Indefensible”.



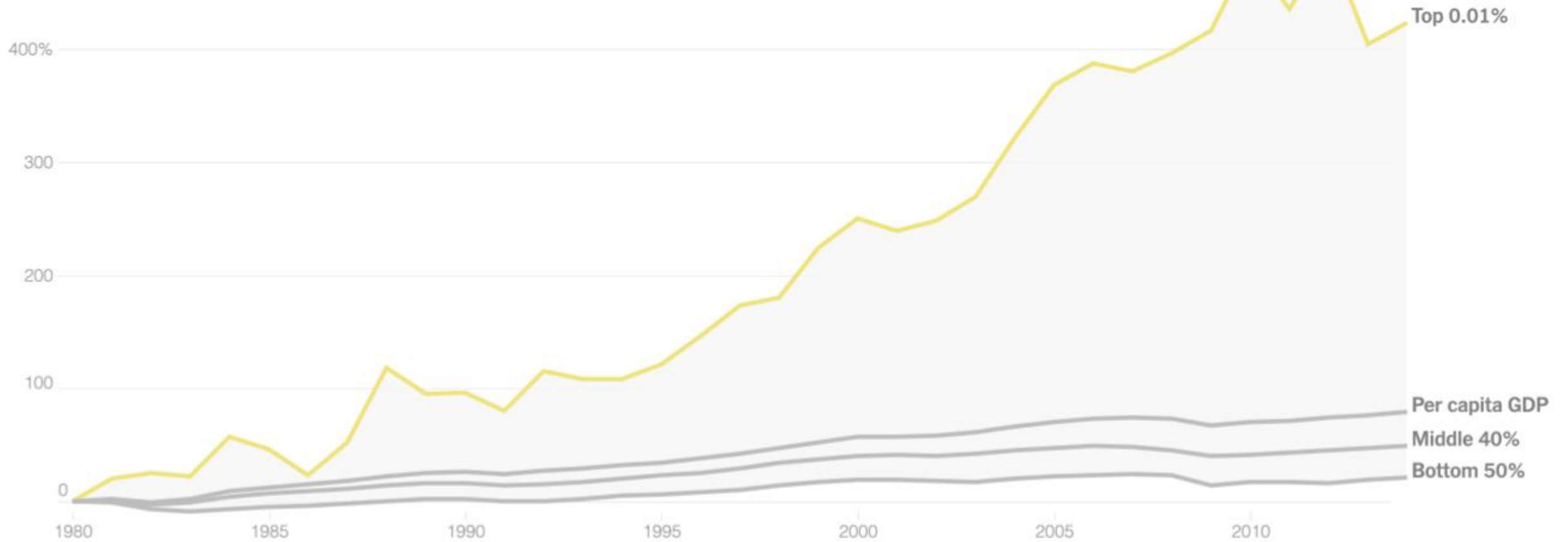
After Buffett started using the private jet, he realized its value as a business tool. So he renamed his aircraft:
“The Indispensable.”

In fact, he liked it so much he bought the company.

NETJETS®

Fighting income inequality?

Change in net worth over time



5 Ways That Billionaire Warren Buffett Pays a Lower Tax Rate Than His Secretary

How Warren Buffett navigates the taxes on his income.



Tom Wheelwright

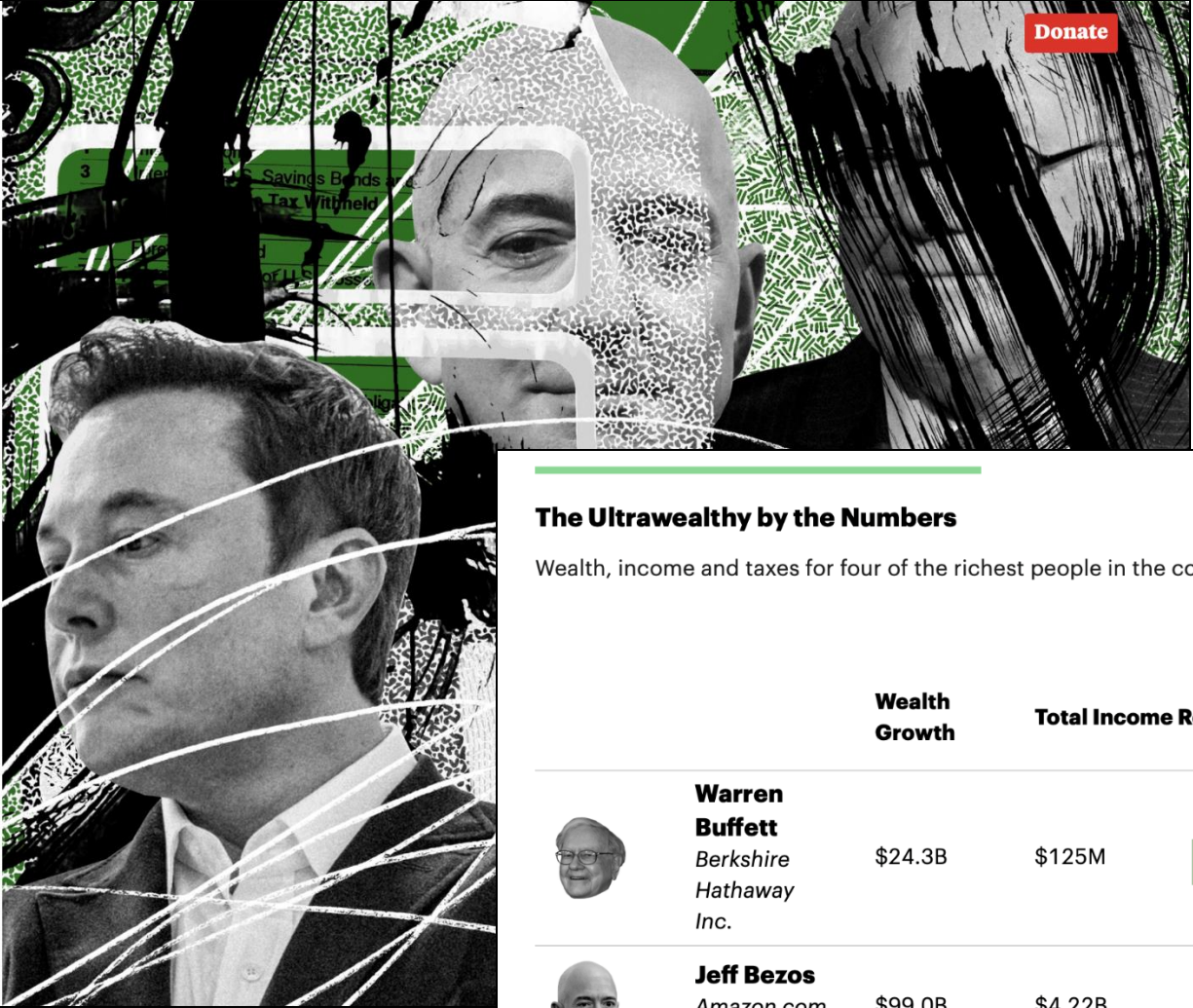
ENTREPRENEUR LEADERSHIP NETWORK CONTRIBUTOR

CPA, Author and Founder and CEO of WealthAbility



The Secret IRS Files: Trove of Never-Before-Seen Records Reveal How the Wealthiest Avoid Income Tax

by Jesse Eisinger, Jeff Ernsthausen and Paul Kiel
June 8, 2021, 5 a.m. EDT



The Ultrawealthy by the Numbers

Wealth, income and taxes for four of the richest people in the country from 2014 to 2018.

		Wealth Growth	Total Income Reported	Total Taxes Paid	True Tax Rate
	Warren Buffett <i>Berkshire Hathaway Inc.</i>	\$24.3B	\$125M 	\$23.7M 	0.10%
	Jeff Bezos <i>Amazon.com Inc.</i>	\$99.0B	\$4.22B 	\$973M 	0.98%
	Michael Bloomberg <i>Bloomberg LP</i>	\$22.5B	\$10.0B 	\$292M 	1.30%
	Elon Musk <i>Tesla Inc.</i>	\$13.9B	\$1.52B 	\$455M 	3.27%

When Capitalism is “done right”, does everybody win?

Warren Buffett's focus on shareholders over the planet could 'backfire' on him, said World Economic Forum's executive chairman

Natasha Dailey / Apr 21, 2021, 5:36 PM

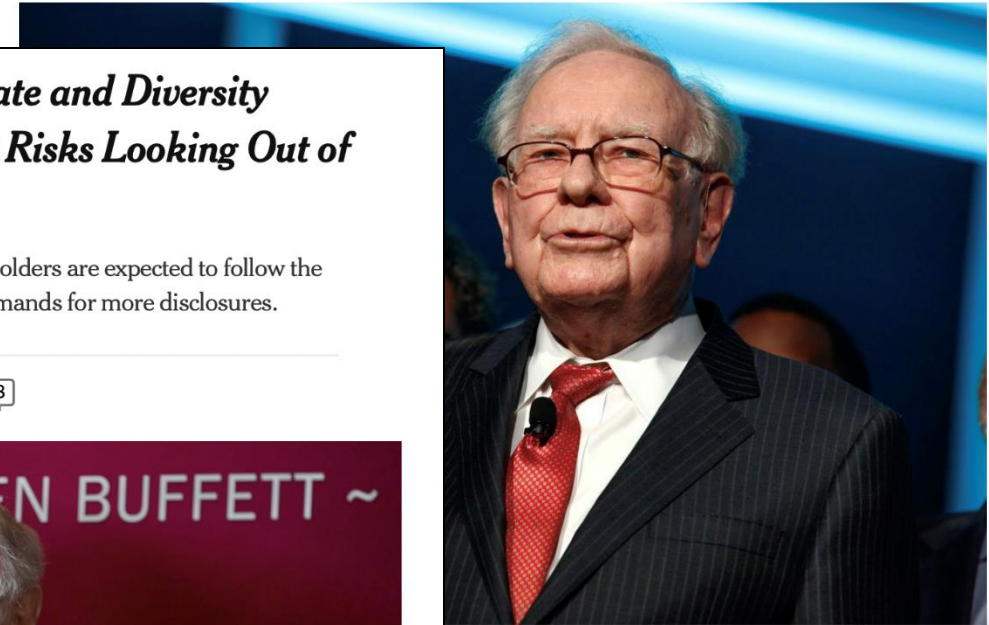


Warren Buffett. REUTERS/Rebecca Cook REUTERS/Rebecca Cook

- Klaus Schwab, executive chairman of the World Economic Forum, said he wants to talk to Warren Buffett.
- He said Buffett's focus on shareholder profitability over the planet may one day backfire.

Buffett's Berkshire Hathaway Bets Billions on Verizon and Chevron

Conglomerate has purchased \$8.6 billion in mobile carrier's stock and \$4.1 billion in oil company's shares



In Opposing Climate and Diversity Proposals, Buffett Risks Looking Out of Step

Berkshire Hathaway's shareholders are expected to follow the chairman's lead and reject demands for more disclosures.

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Warren Buffett, the chairman and chief executive of Berkshire Hathaway for more than 50 years. Nati Harnik/Associated Press



By Michael J. de la Merced

April 30, 2021

Warren Buffett significantly increases Chevron bet, now in Berkshire's top 4 positions

PUBLISHED SAT, APR 30 2022-9:25 AM EDT

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FINANCE · WARREN BUFFETT

Warren Buffett has been on a 9-day buying tear with oil stock Occidental, and it could shed insight into Berkshire Hathaway's bigger strategy, analyst says

What Is Warren Buffett Thinking?

While so many asset managers are titillated by post-correction Big Tech stocks, the Oracle is doubling down on... oil and gas? Will the asset-heavy, lower multiple play be his ultimate zag?



Warren Buffett's Berkshire buys more Occidental after 30% sell-off from record high

PUBLISHED WED, FEB 12 2025-8:49 AM EST | UPDATED WED, FEB 12 2025-11:43 AM EST

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What have we learned
about Warren Buffett?

Buffett story learnings

- Remember: perceptions trump reality
- You can acquire – and improve – storytelling skills over time
- Manage your story at all times
- Use and add details to enhance credibility and authenticity
- Choose your enemies wisely (and carefully)
- Stay the course on the over-arching story; embellish with different versions over time

But most importantly,
a well-crafted story,
told and re-told,
is the strongest moat
against criticism and scrutiny

Did Professor Rolnik drink Buffett's Kool-Aid?

You bet, he did...



You bet,
he did...



You bet, he did...



BREAK